



Our ref: IM-72754

11 December 2024

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Dear Interested Party

Request for submissions: Mérieux NutriSciences' proposed acquisition of a 51% interest in Bureau Veritas AsureQuality Holdings Pty Ltd

The Australian Competition and Consumer Commission (ACCC) is seeking your views on Mérieux NutriSciences' (MXNS) proposed acquisition of a 51% interest in Bureau Veritas AsureQuality Holdings Pty Ltd (BVAQ) (the **Proposed Acquisition**).

MXNS and BVAQ are both global providers of food safety and quality testing services, each operating laboratories in Melbourne, Sydney, Brisbane and Perth.

Further details regarding the Proposed Acquisition and the parties are provided at **Attachment A**.

The ACCC's investigation is focused on the impact that the Proposed Acquisition would have on competition in Australia. In particular, we are seeking your views on:

- the closeness of competition between MXNS and BVAQ in the supply of food testing services in Australia
- the availability of alternative suppliers of food testing services, and
- the impact of the Proposed Acquisition on the supply of food testing services in Australia.

Further issues you may wish to address are set out in **Attachment B**.

This matter is public and you can forward this letter to anybody who may be interested.

The legal test which the ACCC applies in considering the Proposed Acquisition is in section 50 of the *Competition and Consumer Act 2010*. Section 50 prohibits acquisitions that are likely to have the effect of substantially lessening competition in a market.

Please provide your response by 5pm on Friday 10 January 2025 via email to mergers@accc.gov.au with the title: *Submission re: MXNS - BVAQ*. If you require more time to respond, please let us know.

If you would like to discuss the matter with ACCC officers, or have any questions about this letter, please contact mergers@accc.gov.au.

Updates regarding the ACCC's investigation will be available on the ACCC's Public Mergers Register at ([ACCC mergers register](#)).

Confidentiality of submissions

The ACCC treats sensitive information it receives during a merger review as confidential, and will not publish your submission. We will not disclose submissions to third parties (except our advisors/consultants) unless compelled by law (for example, under freedom of information legislation or during court proceedings) or in accordance with s155AAA of the Competition and Consumer Act 2010. Where the ACCC is required to disclose confidential information, we will notify you in advance where possible so that you have an opportunity to be heard. Therefore please clearly indicate if any information you provide is confidential. Our [Informal Merger Review Process Guidelines](#) contain more information on confidentiality.

Yours sincerely

A handwritten signature in blue ink, appearing to read 'Morag Bond', with a stylized, cursive script.

Morag Bond
General Manager
Merger Investigations

Attachment A – Overview of the merger parties and the Proposed Acquisition

MXNS

MXNS is headquartered in Chicago, United States and is a subsidiary of Institute Mérieux, a French holding company owned by the Mérieux family.

MXNS offers practical testing, auditing, consulting, certification and research solutions for the food industry and has a network of over 100 laboratories across 26 countries.

In Australia, MXNS supplies food, water and pharmaceutical testing services.

MXNS has four food testing laboratories in Australia:

- a microbiology and chemistry lab in Sydney
- a microbiology lab in Brisbane
- a microbiology lab in Melbourne, and
- a microbiology lab in Perth.

BVAQ

Bureau Veritas SA is a global laboratory testing, inspection and certification services company with headquarters located in Paris, France.

Bureau Veritas SA operates 35 food testing laboratories across 15 countries and is the parent company of Bureau Veritas Singapore Pte Ltd (**Bureau Veritas Singapore**).

BVAQ is a 51/49% joint venture between Bureau Veritas Singapore and AsureQuality Ltd (NZ) (**AsureQuality**).

In Australia, BVAQ supplies food testing services and has six laboratories:

- three labs in Melbourne (microbiology and chemistry)
- a microbiology lab in Sydney
- a microbiology lab in Brisbane, and
- a microbiology lab in Perth.

Areas of overlap

In Australia, the parties overlap in the supply of food safety and quality testing to ensure foods are safe for consumption and to provide information about the characteristics and composition of food.

The supply of food testing services in Australia is broadly split into 2 types of analysis: microbiology and chemistry testing. Microbiological testing is the examination of the microscopic organisms in food (to check food is safe for consumption). Chemical testing of food involves the examination of the chemical composition of food to provide information about the characteristics of food including composition and structure (e.g. to assess the nutritional content).

The Proposed Acquisition

MXNS proposes to acquire 51% of the issued share capital of BVAQ from Bureau Veritas Singapore.

The remaining 49% of the issued share capital of BVAQ held by AsureQuality will not be acquired as part of the Proposed Acquisition.

Attachment B – List of Questions

1. Please provide a brief description of your business or organisation.
2. Outline the reasons for your interest in the Proposed Acquisition, including any commercial relationship(s) with MXNS or BVAQ.

Food testing services in Australia

3. Describe how closely MXNS and BVAQ compete in the supply of food testing services in Australia. In your response, please comment on:
 - a. the different types of food testing (for example, microbiology and chemical testing) that MXNS and BVAQ supply
 - b. the importance of the locations from which MXNS and BVAQ provide services, and
 - c. any other aspects such as the scope of accreditation, experience, proficiency and capability.
4. Identify and describe alternative suppliers of food testing services in Australia, including with reference to factors such as price, location, scope of accreditation, experience and capability, and how closely they compete with MXNS and/or BVAQ.
5. If you are a customer of food testing services, how important is it to acquire microbiology and chemical testing services from the same supplier? To what extent do you source food testing services from different suppliers?
6. What are the main factors customers consider in selecting a food testing service? Please comment on aspects such as price, service quality, expertise, location, data and reporting capabilities, turnaround time and customer service.
7. Specifically, how important is the geographic location of a laboratory for selecting a supplier of microbiology or chemical food testing services? Are there any scenarios where a customer is able to use a laboratory overseas for food testing? Please outline any additional costs or risks with using services overseas.
8. Please describe the process customers undertake to switch suppliers of food testing services, including the cost and time to switch. How frequently does switching occur?

In-house food testing

9. Please comment on the extent to which in-house testing (where food manufacturers self-supply testing in their own labs) is an alternative option to using third-party suppliers of food testing services. In your response, please identify any particular food testing services that can or cannot be conducted in-house, and whether in-house testing is more common in particular food sectors.

Entry and expansion

10. What are the barriers to entering the supply of food testing services in Australia and the costs of an existing supplier expanding the volume of services supplied and/or scope of services? You may wish to identify factors relevant to each of microbiology and chemistry testing, and comment on:

- a. required equipment, facility and staffing expertise
- b. set-up costs for a new entrant or expansion costs for an existing competitor
- c. timeframes for new entry or expansion
- d. whether new entrants need to secure customers before entry, the minimum scale required for new entry, and any barriers to securing customers, and
- e. regulatory or other requirements or barriers to entry or expansion.

Other information or competition issues

11. Please provide any additional information or comments that you consider relevant to the ACCC's consideration of the Proposed Acquisition.